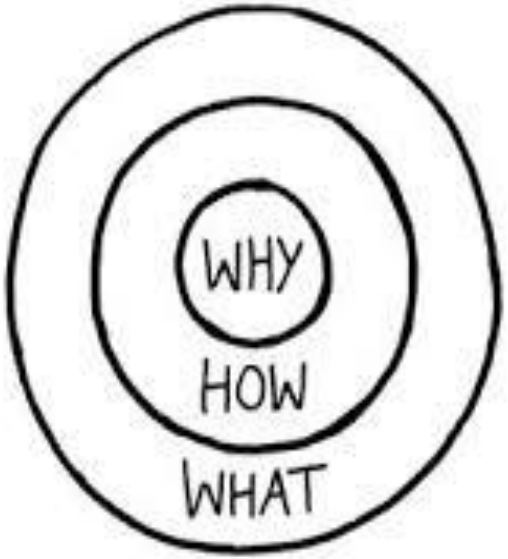
STARTUP WISE GUYS

Fundraising Framework

The SWG fundraising blueprint

December 2020

WHERE DO WE START?



- **What** fundraising process and strategies should we be training the teams on and in what order?
- **How** do we help the teams as part of:

  -> The accelerator

  -> 6 months after the program

  -> Post accelerator (long term)
- **Why** will the SWG framework lead to highly successful startups?

WHAT... CAN BE IMPROVED?

STARTUP WISE GUYS

- **SWG Preparation** -> SWG could prepare a file/log data room per each team, for inhouse and external mentors about each team (maturity, traction, previous funding, runway, startup expectations, SWG expectations, etc.). It should be a continuous log for portfolio management.
- **More Aligned Mentoring Topics** -> Several mentors overload topics with duplicate themes
- **Fundraising From Day One** -> Fundraising is a heavy topic and it should be in the whole program, not in the last week of the program
- **More Hands-On / Homework** -> Startups should graduate with completed data-rooms (template provided by SWG) and MD's should ensure it happens
- **Scalable (Repeatable) vs Not Scalable (Not Repeatable)** -> We should implement scalable part in Fundraising framework like generic topics about funding options, fundraising process, investor deck and how to pitch. In the meantime we should implement Individual planning approach, so after graduation startup would know what they should do and when (based on individual achievements and status).
- **Library and tools** -> We should provide more material, tools and templates regarding the topic (captable projections (short and long), P&L several versions, reporting formats, update formats, VC pipeline tracking tools, investor deck examples and etc.)

We need an SWG Formula

What is the Fundraising chocolate formula?

» Investment Topics

Content Modules

Implementation Weeks

20-22 Weeks

💰 = { 🤔 + 🤹🏼‍♀️ + 📊 + 👨🏻‍⚖️ + 👭 + 💍 }

WHAT FUNDRAISING TRAINING IS MADE OF?

PILLAR 0.	PILLAR 1.	PILLAR 2.	PILLAR 3	PILLAR 4.
Creating a "Starting a Venture" file for each participant	**Understanding the funding landscape**	**Determining your needs**	**Pre-term sheet & investment**	**Post-term sheet & investor management**
• Creating a private log file in Airtable and G Drive (transfer from Includer)	• Accelerator ABC - how to take most out of it (the mindset)	• Fundraising process (II): Funding Needs, Options, Valuation Determination	• Intro to Investory and investor reporting	• Board management & reporting
• Setting up current traction (sales and other key metrics) and goals	• Aligning SWG & Startup expectations - MD session + 1-1s *(optional)*	• Unwrapping VCs and other Funding options	• Angel Panel (MDs)	• VC Panel
• Setting up a fundraising log (captable, valuation, raised capital, runway, etc)	• Introduction to Fundraising Process	• 101: Understanding your needs, Valuation, Setting Fundraising KPIs	• Legal: key terms in TS & IA + Unwrapping DD process	• CAP table management & ESOP (External)
		• Preparing materials – decks & Data Room		• Refreshing the Data Room
SWG builds a Startup "starting" point file for internal and external mentors	**Teams understand various funding options, the landscape and what investors are driven by, and align expectations**	**Teams are prepared to approach investors, start build data rooms, determine valuation & KPI's**	**Teams understand how to prepare for reporting and DD process. Participate in Angel Panel**	**Teams have set up reporting for the board and have full understanding of CAP table management. Continue Data Room.**

SWG 📈 Batch Time View

Week 0

Progress Day
Program Week 10-11
Content Week 6-7

Demo Day
Program Week 20-22
Content Week 13

MODULE 1 *(Weeks 1-4)*

P0 - Preparation
(PM / MD)
Week 0

P1 - Accelerator ABC
(Marijus)
Week 1-2

P1 - Aligning Expectations
(MD)
Week 1-2

P1 - Intro to Fundraising
(Marijus or MD)
Week 4

MODULE 2 *(Weeks 5-7)*

P2 -Market Engineering
(Cristobal)
Weeks 5-9

MODULE 3 *(Weeks 8-10)*

P2 - Fundraising Process: Needs & Valuation
(Marijus)
Week 8-9

P2 - Data Rooms Start
(MD)
Week 8-9

P2 - Unwrapping VCs
(Berend)
Week 8-9

MODULE 4 *(Weeks 11-13)*

P3 - Intro to Investory
(Marijus)
Week 10-11

P3 - Legal: Key Terms
(Anni, Dag, Local Legal)
Week 10-11

P3 - Angel Panel
(MDs)
Week 10-11

P4 - Board Management
(Dag)
Week 12-13

P4 - Cap Table & ESOP
(CapDesk)
Week 12-13

P4 - VC Panel
(MD owner, Marijus help)
Week 12-13

SWG 📈 Pillar 1 - Understanding the Funding Landscape

Topic	Description	Coaches	Other Options	Preferred (Content) Weeks
Accelerator ABC	What to expect from building a Startup and how to take most of the Accelerator	Marijus Andrijauskas		Week 1-2
Aligning Expectations	Aligning SWG and Startup expectations and Goals	MD (or PM)		Week 1-2
Introduction to Fundraising Process	Fundraising process review, what to expect, how to prepare and when	Marijus Andrijauskas	MD	Week 4

SWG 📈 Pillar 2 - Determining your Needs

Topic	Description	Coaches	Other Options	Preferred (Content) Weeks
Market Engineering Sprint	Increasing the startups future sales as well as their uniqueness and attractiveness in the eyes of investors	Cristobal Alonso		Week 5-9
Fundraising Process: Needs & Valuation	Deep dive into the process of fundraising	Marijus Andrijauskas	Dag Ainsoo, Andrea Orlando	Week 8-9
Understanding your Needs (1-1s)	traction/sales math, analysis of a runway vs cash flow projection and drawing a forecast on what needs to be reached for a next round	MD	Marijus Andrijauskas	Week 8-9
Data Room Start	Presenting the data room template and what should be prepared in the accelerator timeline	MD	Marijus Andrijauskas	Week 8-9

SWG 📈 Pillar 3 - Pre-Term Sheet & Investment

Topic	Description	Coaches	Other Options	Preferred (Content) Weeks
Introduction to Investory	Presenting the format to investor reporting on Investory tool	Marijus Andrijauskas		Week 10-11
Legal: Key Terms & Unwrapping Due Diligence process	Key terms in the Term Sheet (TS) & the Investment Agreement (IA). Best practices, tips & tricks of the Due Diligence (DD) process	Anni Saar (SWG)	Dag Ainsoo (SWG)	Week 10-11
Angel Panel	Panel discussion + Q&A with active Angel investors	Herty Tammo (SWG		Week 10-11

SWG 📈 Pillar 4 - Post-Term Sheet & Investor Management

Topic	Description	Coaches	Other Options	Preferred (Content) Weeks
Board Management & Reporting	The purpose of the board, the structure of the board and reporting to the board.	Dag Ainsoo (SWG)		Week 12-13
Cap Table Management and ESOP	How to manage your Cap Table, why it is important, how and when to build an ESOP plan	Cristian or Harry Ashton (CapDesk)		Week 12-13
VC Panel	Panel discussion + Q&A with active Venture Capital investors	MD	Marijus Andrijauskas	Week 12-13

PILLAR 0

Setting Up

Pillar 0 – Setting Up

How SWG is preparing

We will:

+ Build the template file about startups in Airtable
+ Transfer data from Includer into Airtable
+ Build template Forms about traction fundraising in Airtable
+ Collect data we have at the moment (startup, founders, traction , funding)

Fintech 4

OH data

Grid view | Hide fields | Filter | Group | Sort | Color | Share view

	Name	Startup	Stage	Focus	One Liner	Origin C...	Founders	Employed ...	Parties in ...	Team Si...
1	Pay2U	Pay2You	Traction / Growth	B2B2C		Russia	3	0	4	12
2	Realtorify	Realtorify	Traction / Growth	B2B	Realtorify is devel...	Czech Republic	1	1	2	7
3	Watalook	Watalook	Traction / Growth	B2B	Watalook is beaut...	Lithuania	3	2	5	4
4	DServe	Dserve	Traction / Growth	B2B2C	DSERVE is develo...	Lithuania	3	5	4	7
5	HeavyFinance	Heavy Finance	Traction / Growth	B2B B2C	HeavyFinance is a ...	Lithuania				5
6	Okredo	Okredo	Traction / Growth	B2B	An open data platf...	Lithuania	3	15	6	15
7	ForPeeps	For Peeps	Pre-Traction	B2B2C	ForPeeps is a ope...	Estonia			9	8
8	IPO HUB	IPO HUB	Pre-Traction	B2C	IPOhub is a Pan E...	Estonia				6
9	Monevio	MONEVIO	Pre-Traction	B2B Enterprise	Monevio enables ...	Lithuania	5	4	6	7
10	Properenty	Properenty	Pre-Product	B2B	All in one rental pr...	Lithuania	2	0	3	3
11	Payze	Payze	Pre-Product	B2B2C	Payze is building o...	Georgia				8
12	XPass	XPASS	Pre-Product	B2B2C	Xpass is creating ...	Estonia	3	4		4

The Owners

File is built by - **PM (Examples can be seen from previous Batch) - we have to make a template**

File is owned and filled by - **MDs**

PILLAR 1

Understanding the Funding Landscape

Pillar 1 – Understanding the Funding Landscape

Accelerator ABC

What it covers

+ What to expect from building a Startup and how to take most of the Accelerator,

What do teams get

+ The map of a startup Venture in time and knowledge landscape
+ Practical examples about most of the Phases and Areas in Startup Journey
+ Inspiration and Mindset setup
+ Tip & Tricks how to prepare and take most of Accelerator

Format, duration & placement

+ Presentation - **120min** online or live
+ 1-1s - N/A
+ Week 1-2

Owner, Mentor

+ **Marijus Andrijauskas** (SWG)

14

Marijus

, SWG

- **Experience**:
- **Fun Fact:**
- **Can help with**:

LinkedIn
email

Pillar 1 - Understanding the Funding Landscape

Aligning Expectations

What it covers

+ Presentation - Aligning SWG and Startup expectations & Goals
+ 1-1s with the founders to talk about their goals and ambitions
+ Filling the Airtable together with each startup - Traction, Runway and what should be achieved over the program

What do teams get

+ Understanding what they can expect from a program
+ Written down Goals to track

What does SWG get

+ Understanding what teams expect from a program
+ Written down Goals to track

Possible formats, duration & placement

+ Presentation - **60min** online or live (*optional*)
+ 1:1 with each team - **60 min**
+ Week 1-2

Owner, Mentor

+ **Batch MD or PM**

Pillar 1 – Understanding the Funding Landscape

Introduction to Fundraising Process -

What it covers

+ Fundraising process review, what to expect, how to prepare and when

What do teams get

+ What is the fundraising process and how it's working
+ Key areas to cover if you are Fundraising
+ How to fund your company, alternative options (quick glance)
+ Understanding your needs (science and art)
+ To-Do in the Accelerator

Format, duration & placement

+ Presentation - **120min** online or live
+ 1-1s - N/A
+ Week 4

Owner, Mentor

+ **Marijus Andrijauskas** (SWG) or Batch **MD**

PILLAR 2

Determining your Needs

Pillar 2 – Determining your Needs

Market Engineering Sprint

What do teams get

- Understanding of category ownership
- Deeper research on USP and competition
- Developing a unique story for investors
- Developing an initial or alternative storyline before storylining workshops
- Written down Goals to track

What does SWG get

- Understanding what teams are really trying to achieve and position themselves
- Assessment of team ability to think big and outside the box
- Better understanding how we can position team in front of VCs in the near future

Format, duration & placement

- Sprint - **5 days** online or live:
  - Day 1 - Intro to Sprint **(45 min)**
  - Day 2-4 - 1-1s to present homework **(10 min)**
  - Day 5 - Group session presenting results **(120 min)**
- Between Content weeks 5-9 *(after Market Research topic)*
- Sprints Explained here

Owner, Mentor

- **Cristobal Alonso** (SWG)

Cristobal Alonso

El Patron, SWG

- **Experience**:
- **Fun Fact:**
- **Can help with**:

LinkedIn
email

Pillar 2 – Determining your Needs

Fundraising Process: Needs & Valuation

What it covers

+ Deep dive into the process of fundraising

What do teams get

+ Extracted fundraising process and reviews (traction, growth, market, liquidity, margin, retention, team, sales/marketing/unit economics, burn review and impact to process
+ Practical review of rounds (pre-seed, seed, series A)
+ Determining the structure of the round, valuation, captable math, how to prepare to 101
+ Preparation for OH - Homework Review

Format, duration & placement

+ Presentation - **120min** online or live
+ 1-1s - N/A
+ Week 8-9

Owner, Mentor

+ **Marijus Andrijauskas** (SWG)

Pillar 2 - Determining your Needs

Understanding your Needs

What it covers

+ Working on traction/sales math, analysis of a runway vs cash flow projection and drawing a forecast on what needs to be reached for a next round

What do teams get

+ timeline and projection of next round
+ understanding about traction needs to align with a sales team (goals)
+ materials to be prepared list (deliverables)

Format, duration & placement

+ Presentation - N/A
+ 1-1s - **60min**
+ Week 8-9

Owner, Mentor

+ **Batch MD** trained by Marijus Andrijauskas (SWG) if needed

Pillar 2 – Determining your Needs

Unwrapping VCs

What it covers

+ Funding options and how do VCs operate

What do teams get

+ understanding about the funding option landscape
+ what is a VC and how does it operate
+ what questions to ask to a VC
+ type of investors, understanding what is a lead investor, what is a co-investor
+ tip & tricks to deal with a VC

Format, duration & placement

+ Presentation - **60-120 min** online or live
+ 1-1s - N/A
+ Week 8-9

Owner, Mentor

+ **Berend Braam,** Amsterdam Venture Partners

Berend Braam

Fundraiser Advisor, Amsterdam Venture Partners

- **Experience**: Before joining Amsterdam Venture Partners, Berend co-founded a B2B SaaS employee engagement platform at age 22. There was some initial success, but all the classic first-time founder mistakes were made as well. Having learned a ton of lessons, Berend decided to finish his History and International Relations Master, before returning to the startup scene. Currently, as an Associate at Amsterdam Venture Partners, Berend is responsible for the preparation phase of clients' fundraising processes. In addition, Berend mentors at various top-tier accelerators throughout Europe.
- **Fun Fact:** When not figuring out the future by working with Europe's most brilliant founders, Berend is discovering all the corners of our human history. One cannot understand where tomorrow leads if yesterday's path isn't clear.
- **Can help with**: fundraising from VCs – what do you need to know and do before you start fundraising from international VCs across Europe? Don't just jump in and waste precious time. Set up a fundraising process first.

LinkedIn
nl.linkedin.com/in/bpbraam

Pillar 1 – Determining your Needs

Data Room Start

What it covers

+ Presenting the data room template and what should be prepared in the accelerator timeline

What do teams get

+ template file
+ roadmap what and when

No	Section	Item	Check	Language	Link	Last update	Comment
1		Promos introductory pitchdeck	N	EN		Oct 26	
2		Promos teaser reading deck	Y	EN	https://drive.google.com/file/	Oct 6	v7.00 (updated metrics, team, pre-m
3		Promos full investor reading deck	Y	EN	https://drive.google.com/file/	Sep 22	v2.20 (updated with most recent met
4	I. Investor decks and metrics	Promos introductory pitchdeck	N	ES	In prep.		Will be prepared by Oct
5		Promos short investor pitchdeck	N	ES	In prep.		Will be prepared by Oct
6		Promos full investor pitchdeck	N	ES	In prep.		Will be prepared by Oct
7		Promos one-pager	N	EN	In prep.		Will be prepared in Sept
		Key Metrics Summary Table	Y	ES	https://docs.google.com/spre	Oct 6	
8		Promos Updated Financial model (Next-Gen Consumer Panel, Spain	Y	EN	https://drive.google.com/file/	Oct 27	Updated after consumer-analytics pa
9		Promos Financial model (Optimistic Scenario, grants + exp.)	N	EN	In prep.		Currently being reworked
10		Seed Round to Series A Expense Budget (Projection)	Y	EN	https://drive.google.com/file/	Oct 27	Year 2 in Financial Model - Sheet "P
11		2019 Yearly P&L Statement	Y	ES	https://drive.google.com/file/	May 17	
12	II. Financials	2019 Yearly Balance Sheet	Y	ES	https://drive.google.com/file/	May 17	
13		2019 Official Annual Account Satement (Draft)	Y	ES	https://drive.google.com/file/	May 18	
14		2020 June P&L Statement	Y	ES	https://drive.google.com/file/	Aug 31	
15		2020 June Balance Sheet	Y	ES	https://drive.google.com/file/	Aug 31	
16		Pro forma 2020 P&L Statement (Projection)	Y	EN	https://drive.google.com/file/	Sep 1	Year 1 in Financial Model - Sheet "P
17		Pro forma 2020 Balance Sheet (Projection)	Y	EN	https://drive.google.com/file/	Sep 1	Year 1 in Financial Model - Sheet "B
18		Current Articles of Association (valid since incorporation)	Y	ES	https://drive.google.com/file/	Sep 30	
19		Current Title of Ownership	Y	ES	https://drive.google.com/file/	Nov 18	
20		First Refusal and Co-Sale Agreement(s)	N	N/A	None exist	N/A	
21		Voting Agreement(s)	N	N/A	None exist	N/A	
22		Investor Rights Agreement(s)	N	N/A	None exist	N/A	
23		Stock Purchase Agreement(s)	N	N/A	None exist	N/A	
24	III. Company documents	Simplified Cap Table	Y	EN	https://docs.google.com/spre	Aug 28	
25		Telesoftas Terms / Agreement	Y	EN	https://drive.google.com/file/	Sep 27	
26		Angel Round Convertible Loan Agreements (CLA)	Y	EN	https://drive.google.com/driv	Jan 31	
27		Angel Round CLA Side Letter (Annex I)	Y	EN	https://drive.google.com/file/	Jan 31	
28		Angel Round CLA Budget (Annex II)	Y	EN	https://drive.google.com/file/	Jan 31	
29		Draft Shareholder Agreement (post-Angel Round)	N	EN	In prep.		
30		Draft Articles of Association (post-Angel Round)	N	ES	In prep.		
31		Angel investor follow-on investment Term Sheets	N	EN	In prep.		
32		Captable Projection (CN - 8 month interest, 2.8M valuation)	Y	EN	https://docs.google.com/spre	Sep 1	
33		Captable Projection (no interest, TS buyback to ESOP, angel follow c	Y	EN	https://docs.google.com/spre	Sep 1	
34	IV. Seed Round Fundraising documents	Telesoftas software development credit note	N	EN	In prep.		Currently being prepared based on a
35		Telesoftas / ESOP buyback option term sheet	N	EN	In prep.		Currently being prepared based on a
36		ENISA 67.000 EUR subsidized loan conditions	Y	EN	https://docs.google.com/doc	Sep 1	
37		ENISA 67.000 EUR subsidized loan formal confirmation	N	ES	In prep.		Official confirmation received, prepar
		Shareholder update [safe] for September	Y	EN	https://drive.google.com/file/	Oct 5	Very sensitive and personal informat
38		FMCG Brand Sales Presentation	Y	ES	https://drive.google.com/file/	Sep 1	
39		Current list of FMCG Brands - Clients	N	EN	https://drive.google.com/file/	Sep 1	
40		Current Brand Agreements (clients)	N	EN	https://drive.google.com/driv	Sep 1	

Format, duration & placement

+ Presentation - **60min** online or live
+ 1-1s - N/A
+ Week 1-2
+ Template here

Owner, Mentor

+ **Marijus Andrijauskas** (SWG)

PILLAR 3

Pre-Term Sheet & Investment

Pillar 3 - Pre-Term Sheet & Investment

Introduction to Investory

What it covers

+ Presenting the format to investor reporting on Investory tool

What do teams get

+ Structure how to report to a Board
+ Demo to Investory tool

Format, duration & placement

+ Presentation - **60min** online or live
+ 1-1s - N/A
+ Week 10-11

Owner, Mentor

+ **Marijus Andrijauskas** (SWG) or **Investory** representative

Pillar 3 - Pre-Term Sheet & Investment

Legal: Key Terms & Unwrapping Due Diligence process

What it covers

+ Going after key terms in the Term Sheet (TS) and the Investment Agreement (IA), sharing best practices, tips & tricks, talking about other parts of the Due Diligence (DD)

What do teams get

+ understanding the purpose of TS and IA
+ being aware and how best to prepare the legal part for DD

Format, duration & placement

+ Presentation - **120min** online or live
+ 1-1s - N/A
+ Week 10-11

Owner, Mentor

+ **Anni Saar** (SWG), **Dag Ainsoo** (SWG) or External Lawyer

Anni Saar

CLO, SWG

- **Experience:** I am a visiting lecturer at Tallinn University of Technology, I am a co-author of two academic articles and I graduated my masters (in IT law) cum laude 🎓 Legal Officer with Startup Wise Guys.
- **"Super power":** Legal reasoning, I know a thing or few about IT law, intellectual property, investment agreements and personal data protection and I love negotiations
- **Fun fact:** I speak (Argentian) Spanish

Can help with: Investment agreements, IP and GDPR

LinkedIn
anni@startupwiseguys.com

Pillar 3 - Pre-Term Sheet & Investment

Angel Panel

What it covers

+ Panel discussion + Q&A with active Angel investors

What do teams get

+ Access to larger network of investors in the region / vertical / industry
+ Opportunity to discuss their case and questions
+ Ge the investors' point of view of making investment decisions

Format, duration & placement

+ Panel Discussion - **60-90min** online or live
+ 1-1s - N/A
+ Week 1-2

Owner, Mentor

+ **Herty Tammo** (SWG)

PILLAR 4

Post-Term Sheet & Investor Management

Pillar 4 – Post-Term Sheet & Investor Management

Board Management & Reporting

What it covers

+ Talking about the purpose of the board, the structure of the board and reporting to the board.
+ Practical examples and preparation to Informal SWG Board Meeting

What do teams get

+ understanding of the purpose of a board
+ how to deal with building a board that helps, not just being formal
+ how to manage and to deal with a board
+ what is an informal SWG Board Meeting and how to prepare

Format, duration & placement

+ Presentation - **60-120min** online or live
+ 1-1s - N/A
+ Week 1-2

Owner, Mentor

+ **Dag Ainsoo** (SWG)

Dag Ainsoo

Partner, Startup Wise Guys

- **Experience:** Worked in PwC Estonia and Silicon Valley. Founded SmartAD, the largest Internet ad network in the Baltics and sold it successfully to MTG. Helped to build Startup Wise Guys into the leading early-stage accelerator fund in Europe. Investor in over 50 startups.
- **Super power:** Resiliency, enjoying solving hard and long-term problems, staying calm in difficult situations, making friends ☺️
- **Fun fact:** Multiple times Estonian Orienteering sport champion (also won two medals this year in the veteran category)

Can help with: Fundraising, building strategy and financials, making connections

Linkedin
dag@startupwiseguys.com

Pillar 4 – Post-Term Sheet & Investor Management

Cap Table Management and ESOP

What it covers

+ How to manage your Cap Table, why it is important, how and when to build an ESOP plan

What do teams get

+ Understand why the Cap Table is important and how to deal with it
+ Practical examples of Cap Table structures and forecasts
+ Extracting ESOP plan and purpose with practical examples

Format, duration & placement

+ Presentation - **60-120min** online or live
+ 1-1s - N/A
+ Week 12-13

Owner, Mentor

+ **Cristian** or **Harry Ashton** (CapDesk)

Harry Ashton

Startup Sponge, Captable Expert

- **Experience**:
- **Fun Fact:**

Can help with:

LinkedIn
harry.ashton@capdesk.com

Pillar 4 – Post-Term Sheet & Investor Management

Introduction to Fundraising Process

What it covers

+ Panel discussion + Q&A with active Venture Capital investors

What do teams get

+ Access to larger network of investors in the region / vertical / industry
+ Opportunity to discuss their case and questions
+ Ge the investors' point of view of making investment decisions

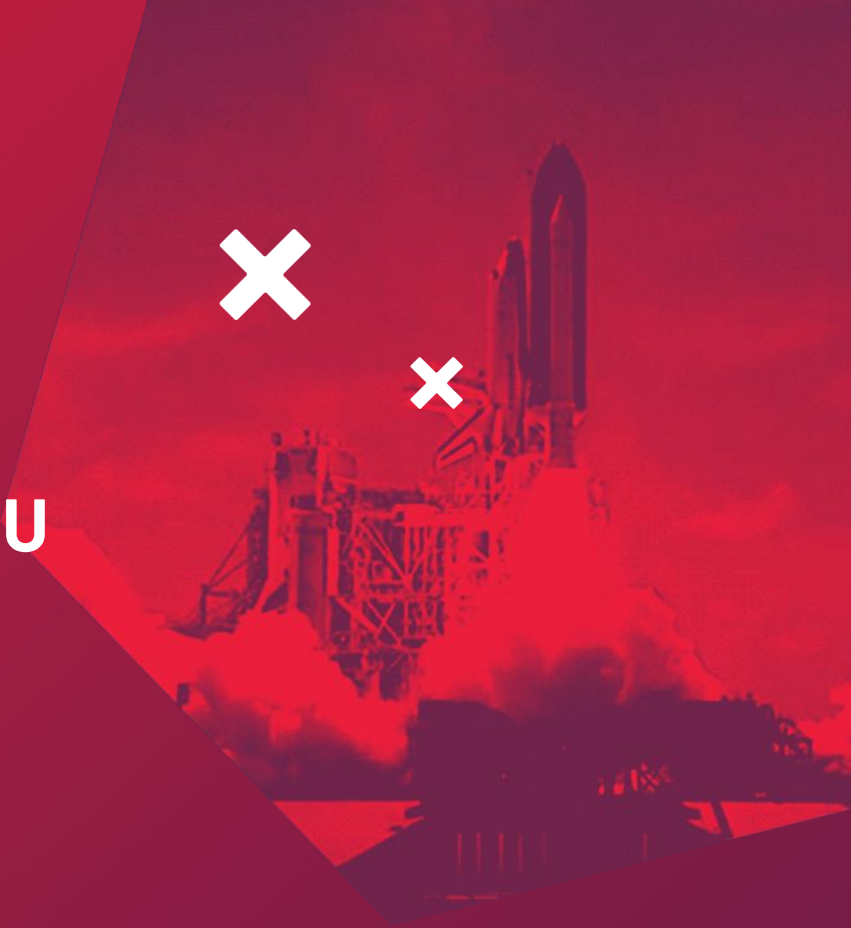
Format, duration & placement

+ Presentation - **120min** online or live
+ 1-1s - N/A
+ Week 12-13, can be linked with the Demo Day

Owner, Mentor

+ **MD** with support from **Marijus Andrijauskas** (SWG) & **Herty Tammo** (SWG)

THANK YOU



WISE GUYS